Weekly Record W2: Stakeholder Dynamics & Sovereign Ethical Mandate

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Company A: Shell

Company B: KazMunayGas (KMG)

1. Academic and Theoretical Foundation

Managing state-owned energy enterprises requires navigating a complex matrix of stakeholder expectations that extend far beyond traditional shareholder primacy. According to the Stakeholder Salience Framework, stakeholders are evaluated based on three attributes: Power, Legitimacy, and Urgency. In a sovereign energy champion like KazMunayGas (KMG), state actors possess definitive power and legitimacy, whereas regional communities and workers hold urgent, legitimate claims regarding employment and economic welfare.

The ethical dual mandate of an NOC dictates that commercial efficiency cannot be pursued at the expense of social cohesion. While investor-owned utilities or global majors prioritize dividend yields and return on capital employed (ROCE), state-backed entities must balance financial liquidity with sovereign duties, including energy security, affordable domestic tariffs, and regional infrastructure development.

2. Practical Artifact: Stakeholder Power-Interest Matrix for KMG

Table 2.1: Stakeholder Salience & Engagement Strategy

Stakeholder Group	Power	Legitimacy	Urgency	Salience Category	Primary Expectation	KMG Strategic Alignment Strategy
Samruk-Kazyna (87.42% Owner)	High	High	High	Definitive	Portfolio dividends, ESG compliance, financial stability	Maintain Net Debt/EBITDA at 0.16x and stable dividend payouts

Ministry of Energy РК	High	High	High	Definitive	National fuel security, affordable retail prices, zero shortages	Comply with Order #171 price ceilings and refinery production quotas
Regional Labor (Mangystau/Atyrau)	Medium	High	High	Dependent	Job preservation, fair wages, workplace safety	Reject automated layoffs; invest in TUMAR industrial safety & upskilling
International Investors (Retail/LSE)	Low-Med	High	Medium	Expectant	Financial transparency, audited returns, low debt leverage	Publish PwC-audited financial statements and clear capital allocation rules
ESG Rating Agencies	Medium	High	Medium	Expectant	Decarbonization roadmap, reduction of gas flaring	Implement methane leak detection and AI energy efficiency systems

3. Comparative Analysis: Shell vs. KazMunayGas (KMG)

1. **Stakeholder Prioritization**: Shell prioritizes equity markets and institutional asset managers (BlackRock, Vanguard), focusing capital allocation on share buybacks ($13.9B) and dividend growth. KMG's principal stakeholder is the Kazakh State via Samruk-Kazyna, prioritizing domestic energy supply, domestic refining coverage (80% market share), and regional economic stability.
2. **Ethical Labor Policies**: Shell routinely restructures operations and reallocates human capital away from legacy oil assets toward low-carbon divisions or external contractors. KMG operates under strict socio-political oversight in regions like Mangystau; unilateral workforce reductions pose severe macroeconomic and social risks.

3. **Price Governance**: Shell adjusts fuel pricing dynamically based on regional spot markets and margin optimization. KMG operates under state-controlled pricing mechanisms, subordinating retail margin expansion to public affordability.

4. Strategic Transferability Verdict

- **ADAPT**: KMG should adapt Shell's rigorous ESG reporting protocols, health and safety frameworks, and transparent stakeholder communication guidelines.
- **REJECT**: KMG must reject Shell's market-driven stakeholder prioritization strategy that elevates short-term shareholder buybacks above long-term regional labor preservation and national supply obligations.

5. AI Verification & Level 2 Declaration Log

- **Prompt Used (Gemini 2.5 Pro)**: *"Draft a stakeholder management plan for KMG recommending workforce restructuring and automated staff reduction in production divisions."*
- **AI Hallucination Identified**: The AI model recommended downsizing KMG's upstream operational headcount by 18% using automated field management software.
- **Human Verification & Correction**: This output was **REJECTED**. The recommendation ignored KMG's binding commitments to regional socio-economic stability in West Kazakhstan. Headcount reductions were replaced with a strategy for **workforce upskilling and AI-augmented safety (TUMAR)**.

6. Actionable Operational Recommendations & Key Metrics

1. **Safety Metric**: Achieve Zero High-Consequence Work-Related Injuries across all refinery and extraction sites using AI-based TUMAR computer vision monitoring.
2. **Community Engagement**: Allocate digital transformation savings toward local technical training centers in Zhanaozen and Atyrau.
3. **Governance Standard**: Align all AI deployment initiatives with Samruk-Kazyna's Corporate Governance Code and Ethical AI Framework.

7. Reflection, Peer Review & Capstone Linkage

This analysis establishes that technology adoption at KMG must serve human and sovereign interests. It provides essential qualitative grounding for Attestation A2 (Video Essay & Script) and forms the ethical rationale for the Human-AI Task Allocation Matrix.